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ORACLE EPM

Predictive Cash Forecasting

Rolling Forecast - Advanced Lab Guide

Product Design Documentation | Implementation Guide | Training Material
Technical Reference | Troubleshooting Handbook

Advanced audience Oracle EPM Planning consultants, treasury solution architects, cash managers, administrators, integration engineers, and production support teams.

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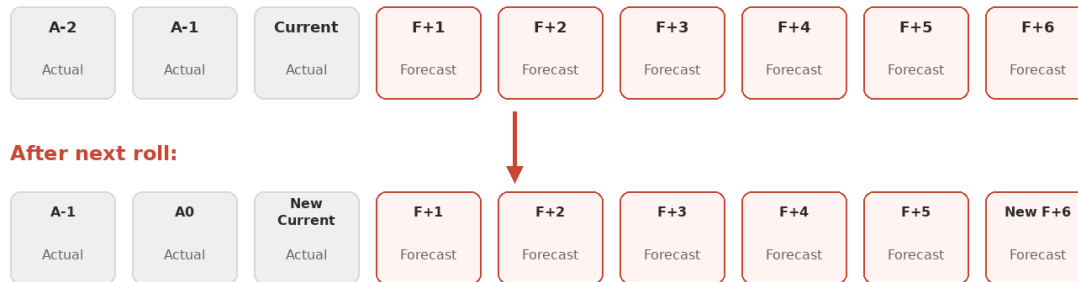
1. Rolling Forecast Design Intent

Predictive Cash Forecasting is designed around continuous rolling forecasts. In a rolling design, the horizon remains stable while time advances: completed forecast buckets become actual, the latest source data is processed, and new forecast buckets are added at the far end. This creates a repeatable operating rhythm rather than a one-time forecast exercise.

Design Question	Advanced Design Choice	Why It Matters
Granularity	Daily or Periodic (Weekly/Monthly)	Determines forecast buckets, review cadence and operational usefulness.
Start date	System date for production; controlled cutover for implementation	Keeps the rolling horizon aligned with actual operational time.
Actual history	Enough history to evaluate forecast quality	Supports variance, bias and forecast-value-added analysis.
Forecast horizon	Fixed count of future buckets	Maintains a consistent decision window as time rolls.
Method by line item	Transaction, driver, trend/statistical, predictive, manual exception	Improves explainability and accuracy.
Governance	Working -> reviewed -> approved snapshots	Preserves accountability across each roll.

Lab pattern This guide uses a 13-week rolling periodic forecast as the hands-on reference pattern. The same control concepts apply to daily and monthly rolling forecasts, although available configuration options and operational cadence differ.

How the Rolling Horizon Moves



Key design principle: the forecast horizon stays constant while time advances. The oldest bucket becomes historical, the latest actual is processed, and a new forecast bucket is appended.

Figure 1 - Rolling horizon mechanics: actuals advance and a new forecast bucket enters.

2. Product Architecture

Rolling Forecast - Reference Architecture

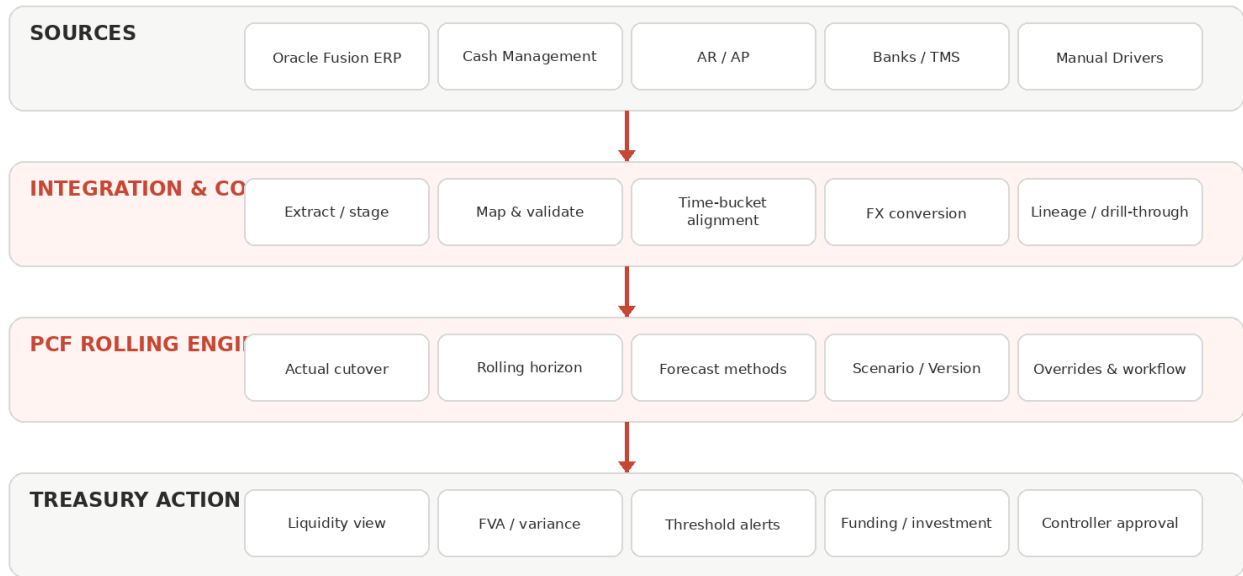


Figure 2 - Rolling Forecast reference architecture.

Design principles

- Direct cash-flow orientation: forecast inflows, outflows and resulting balances.
- Source traceability: retain context needed to reconcile forecast outcomes to source transactions and aggregates.
- Line-item method governance: avoid applying one algorithm across all cash-flow behavior.
- Continuous roll: automate data refresh, forecast processing, exception review and snapshot publication.
- Decision-first analytics: liquidity risk, funding requirements and surplus deployment should be visible before users drill into details.

3. Oracle-Inspired Navigation and Configuration

Application > Configure > Forecast Range Setup

Rolling Forecast Configuration

Forecast start	System Date / operational cutover
Granularity	Periodic - Weekly (lab example)
Actual history shown	8 weeks
Forecast horizon	13 weeks
Scenario	Rolling Forecast
Version	Working -> Approved
Currency	Entity + Reporting Currency
Refresh cadence	Weekly close / scheduled process

Control Checklist

- Calendar / fiscal week valid
- Entity & bank mappings complete
- Opening balance tie-out
- FX rates available
- Forecast rules run
- Override workflow assigned
- Snapshot retention defined

Save Configuration

Figure 3 - Conceptual Oracle-inspired Forecast Range Setup configuration.

Suggested navigation concept

Navigation Area	Primary Persona	Purpose
Summary	Treasury Manager / Controller	Enterprise cash position, headroom and alerts.
Rolling Forecast	Cash Manager	Review actuals and rolling inflow/outflow forecast by entity.
Predict by Line Item	Power User	Run or compare line-item prediction methods.
Actual vs Forecast	Cash Manager	Evaluate forecast error and timing slippage.
FVA Analysis	Controller / CoE	Determine whether model/override steps improved the forecast.
Cash Flow Analysis	Treasury	Analyze operating, investing and financing cash flows.
Administration	Administrator	Time, methods, mappings, integrations, rules, security.

Design note Oracle recommends enabling both daily and periodic forecasting for broader short- and mid-term visibility. For a periodic implementation, choose the periodic granularity that matches the operating model and treasury decision cadence.

4. Rolling Forecast Process Flow

Continuous Rolling Forecast Cycle

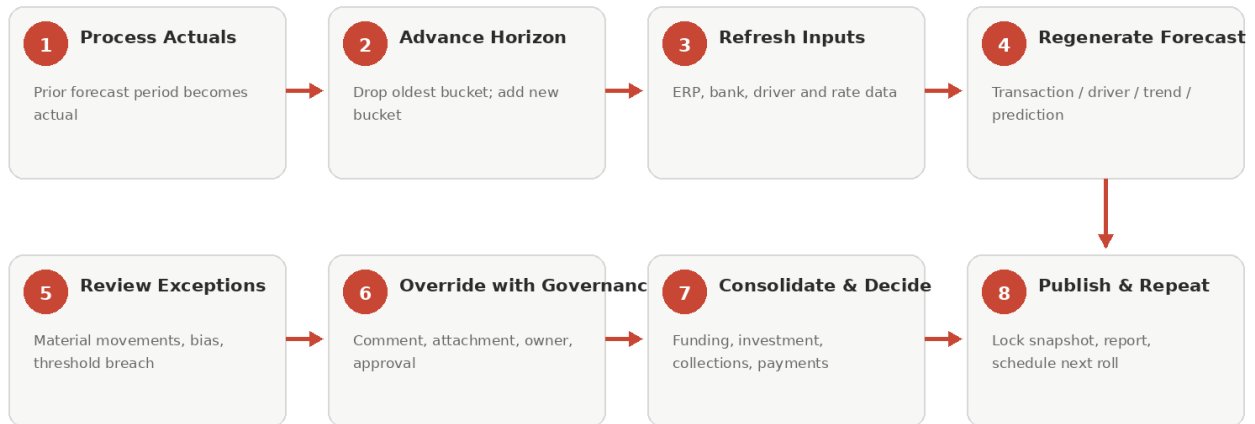


Figure 4 - End-to-end operating cycle for each forecast roll.

Production cadence

Stage	Owner	Control	Exit Criteria
Process actuals	Integration / Admin	Load status, duplicate check, opening balance tie-out	Actual bucket certified
Advance horizon	Admin / scheduled rule	Correct start period and horizon count	New period visible
Generate forecast	Cash Manager / system	Method execution by line item	Forecast complete
Review exceptions	Cash Manager	Thresholds, materiality, comments	Exceptions dispositioned
Consolidate	Controller	FX, hierarchy, intercompany review	Enterprise view balanced
Approve	Controller / Treasury	Status and override audit	Snapshot approved
Archive / publish	Admin	Snapshot ID and retention	Management pack released

5. Forecast Method Decision Framework

Rolling Forecast Method Decision Tree

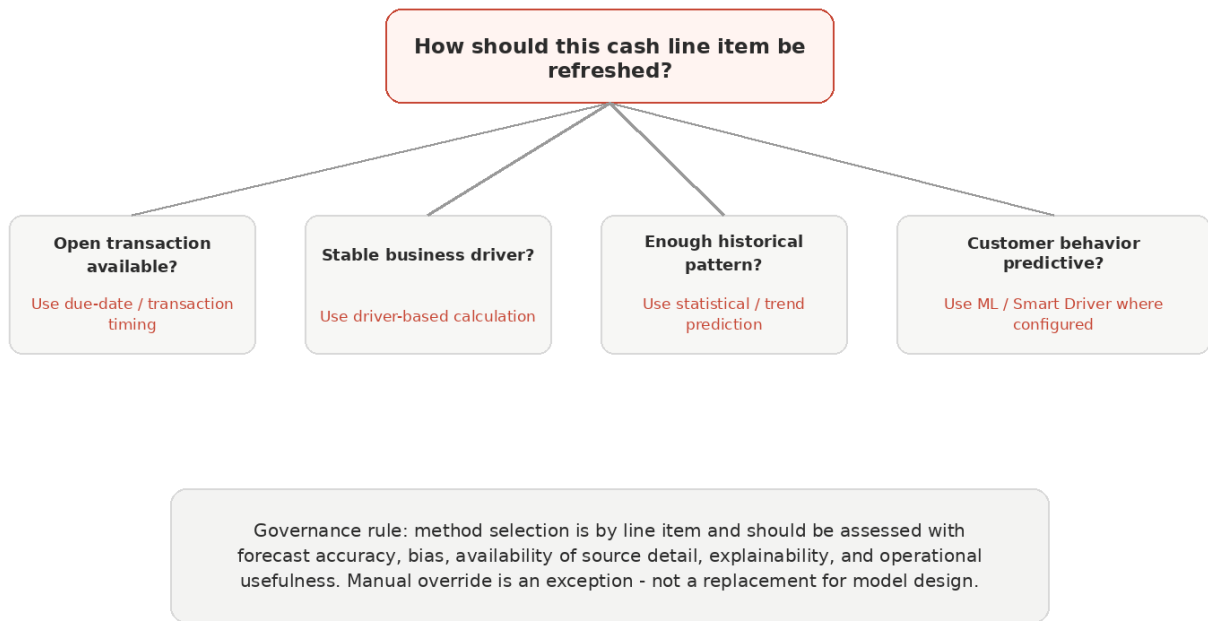


Figure 5 - Decision tree for selecting a rolling forecast method by cash line item.

Method governance matrix

Method	Best Fit	Strength	Key Risk
Transaction / due-date	Open AR/AP and scheduled cash events	Explainable and source-aligned	Due dates may not reflect actual payment behavior
Driver based	Payroll, tax, capex, fees, recurring items	Business logic is transparent	Driver quality and timing assumptions can drift
Trend / statistical	Stable historical patterns	Automated baseline	Structural change and seasonality can mislead
Predictive / ML	Rich behavior history and sufficient data	Can capture complex patterns	Requires monitoring, data quality and explainability
Manual override	Known event not represented in source/model	Fast expert correction	Bias, undocumented changes, weak audit discipline

6. Advanced Lab Scenario

Company: BISP Manufacturing Group. Treasury operates a 13-week weekly rolling cash forecast for India Manufacturing, US Distribution and UK Services. Reporting currency is USD. The target minimum enterprise liquidity buffer is \$20.0M.

Parameter	Lab Value
Forecast cadence	Weekly
Actual history displayed	8 prior weeks
Rolling horizon	13 forecast weeks
Forecast scenario	Rolling Forecast
Working version	Working
Approval version	Approved
Minimum cash buffer	\$20.0M
Material variance threshold	\$1.0M or 8%
FX refresh	Before forecast process
Snapshot convention	RF_YYYY_WW_Approved

Starting assumptions

Cash Line Item	Forecast Method	Driver / Source
Customer Receipts	Transaction + predictive payment behavior	AR open items, due date, customer behavior
Supplier Payments	Transaction timing	AP open obligations / payment schedules
Payroll	Driver based	Headcount, payroll calendar
Tax	Driver / manual confirmed event	Tax calendar
Capex	Project schedule	Approved capex milestones
Debt Service	Contract schedule	Treasury debt calendar
Interest / Other	Trend / driver	Rate assumptions, prior actuals

7. Lab Step 1 - Prepare Source Data and Control Totals

Before running a rolling forecast, reconcile source feeds to control totals. Never treat a successful integration job as evidence that the forecast is complete.

Control	Source Total	Loaded Total	Tolerance	Status
Opening Bank Cash	34.6	34.6	0.0	PASS
AR Open Items	28.4	28.4	0.1	PASS
AP Open Items	22.7	22.7	0.1	PASS
Debt Schedule	6.0	6.0	0.0	PASS
Capex Commitments	4.8	4.8	0.1	PASS

Hands-on tasks

- Load actual cash balances and confirm reporting-currency translation.
- Load AR/AP data and validate that all entities map to a valid Cash Flow member.
- Confirm that no source member remains unmapped.
- Run the periodic actuals process before the forecast process.
- Capture the integration job ID and reconciliation evidence in the lab worksheet.

Failure condition Do not continue if opening cash does not tie to the approved bank/cash-management source. A rolling forecast with an incorrect opening balance can appear mathematically valid while producing unusable liquidity conclusions.

8. Lab Step 2 - Seed the 13-Week Forecast

Week	Receipts	Supplier	Payroll	Tax	Capex	Debt/ Interest	Net Movement	Closing Cash
W1	11.2	-7.1	-2.6	0.0	-0.4	-0.3	0.8	35.4
W2	10.6	-8.0	-2.6	0.0	-0.3	-0.2	-0.5	34.9
W3	9.5	-7.8	-2.7	-1.1	-0.6	-0.2	-2.9	32.0
W4	8.1	-8.2	-2.7	0.0	-0.5	-0.2	-3.5	28.5
W5	9.0	-7.5	-2.6	-2.0	-0.4	-0.2	-3.7	24.8
W6	8.4	-7.6	-2.8	0.0	-0.5	-0.3	-2.8	22.0
W7	10.7	-7.0	-2.6	0.0	-0.3	-0.2	0.6	22.6
W8	11.4	-7.1	-2.6	0.0	-0.5	-0.2	1.0	23.6
W9	11.8	-7.8	-2.7	0.0	-0.8	-0.3	0.2	23.8
W10	12.6	-7.4	-2.6	0.0	-0.4	-0.2	2.0	25.8
W11	13.2	-7.5	-2.7	0.0	-0.3	-0.2	2.5	28.3
W12	13.6	-7.2	-2.7	0.0	-0.4	-0.2	3.1	31.4
W13	14.2	-7.3	-2.8	0.0	-0.5	-0.2	3.4	34.8

Lab calculation Closing Cash(t) = Opening Cash(t) + Total Cash Inflows(t) - Total Cash Outflows(t). Opening Cash(t+1) = Closing Cash(t). In the lab, W6 is the minimum projected cash point at \$22.0M, leaving only \$2.0M above the minimum liquidity buffer.

9. Lab Step 3 - Stress Scenario and Liquidity Action

Create a downside scenario where W4-W6 customer receipts slip by a total of \$4.5M and W5 supplier payments accelerate by \$1.0M.

Week	Base Closing	Stress Impact	Stress Closing	Buffer	Headroom	Action
W4	28.5	-2.0	26.5	20.0	6.5	Monitor
W5	24.8	-4.0	20.8	20.0	0.8	Prepare funding
W6	22.0	-5.5	16.5	20.0	-3.5	Funding required
W7	22.6	-4.5	18.1	20.0	-1.9	Maintain draw / collections action

Decision logic

Condition	Decision
Headroom >= \$5M	No funding action; routine monitoring
\$0M <= headroom < \$5M	Treasury watch; validate receipts/payments and committed facility
Headroom < \$0M	Initiate approved liquidity action: revolver draw, intercompany funding, payment deferral, collection acceleration, or asset/liquidity action subject to policy
Stress breach only	Document contingency trigger and owner; avoid unnecessary base-case action

10. Lab Step 4 - Roll Forward One Week

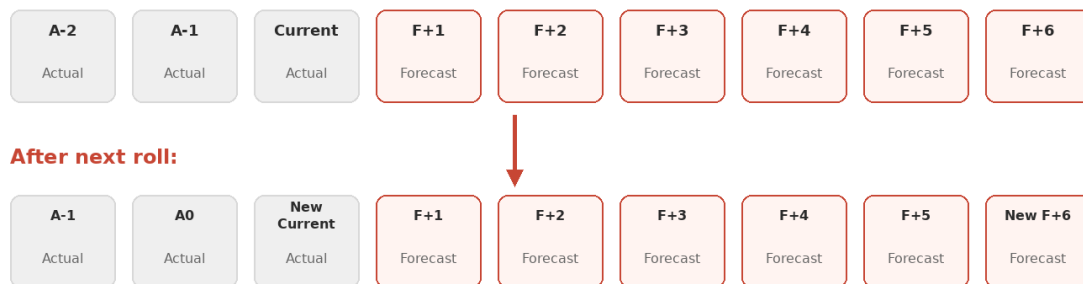
Assume W1 closes. Actual W1 receipts were \$10.5M versus \$11.2M forecast, and supplier payments were \$7.4M versus \$7.1M forecast. The first forecast week now becomes actual history; the horizon advances and a new W14 forecast bucket is appended.

Metric	W1 Forecast	W1 Actual	Variance	Interpretation
Receipts	11.2	10.5	-0.7	Collections below forecast
Supplier payments	-7.1	-7.4	-0.3	Cash outflow above forecast
Net effect	0.8	-0.2	-1.0	Closing cash \$1.0M below forecast

Required student actions

- Process W1 actuals and validate the actual-versus-forecast view.
- Advance the forecast start to the next week.
- Confirm the new W14 bucket is available and has been populated by the appropriate forecast method.
- Recalculate closing cash for all 13 future weeks.
- Reassess liquidity alerts because the \$1.0M miss propagates into later opening balances unless offset by changed forecasts.
- Save the new working snapshot and document the roll date.

How the Rolling Horizon Moves



Key design principle: the forecast horizon stays constant while time advances. The oldest bucket becomes historical, the latest actual is processed, and a new forecast bucket is appended.

Figure 6 - The controlled roll-forward pattern used in this lab.

11. Forecast Accuracy, Bias and FVA

A mature rolling process evaluates whether forecasting steps improve the estimate. Forecast Value Added (FVA) compares the error before and after a process or override rather than rewarding complexity for its own sake.

Line Item	Baseline Error	Final Error	FVA	Assessment
Customer Receipts	12.0	7.0	+5.0 pts	Improved by predictive/manager refinement
Supplier Payments	6.5	6.8	-0.3 pts	Override/process reduced quality
Payroll	2.0	2.0	0.0 pts	Stable driver - retain
Capex	18.0	9.0	+9.0 pts	Project schedule refinement adds value

Advanced interpretation Positive FVA means the added forecasting step reduced error. Negative FVA is a signal to investigate whether an override, method, process delay, or data transformation makes the forecast worse.

12. Rolling Forecast Dashboard Mockup

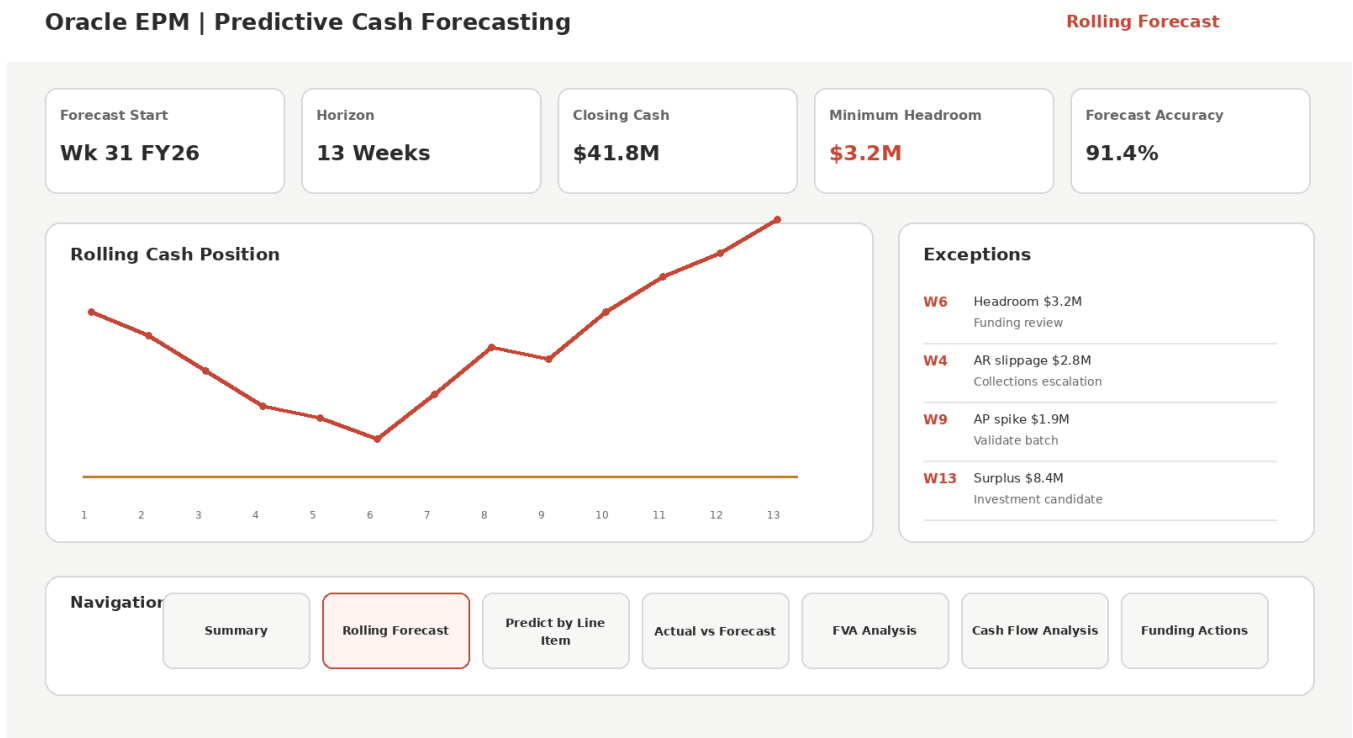


Figure 7 - Oracle-inspired rolling liquidity dashboard mockup.

Dashboard design requirements

- Always show forecast start and horizon so users know what time window they are looking at.
- Separate cash position KPIs from drivers and exception queues.
- Show minimum headroom and first breach period, not just ending cash.
- Provide drill path from enterprise -> entity -> bank -> cash line item -> source transaction where integration supports it.
- Show forecast accuracy and bias alongside liquidity metrics to avoid confidence based solely on a visually smooth forecast.

13. Overrides, Comments and Approval Workflow

Status	Permitted Action	Required Evidence
Working	Edit assumptions, run methods, create override	Comment recommended for material changes
Submitted	No uncontrolled edits	Owner, timestamp, reason code
Reviewed	Reviewer disposition of exceptions	Reviewer comment / evidence
Approved	Snapshot used for management decisions	Locked snapshot ID and approval record
Superseded	Read-only historical record	Link to subsequent roll

Recommended override fields

Field	Example
Entity	India Manufacturing
Cash Line Item	Customer Receipts
Period	W5 FY26
System Forecast	\$9.0M
Override	\$10.4M
Reason Code	Confirmed customer remittance
Comment	Customer confirmed payment date
Attachment	Customer_Remittance_Advice.pdf
Owner	Cash Manager
Approver	Regional Controller

14. Data Flow, Lineage and Drill-Through

A production design should preserve traceability from source to forecast result. The cash manager should be able to explain whether a forecast came from open transactions, a driver, a statistical/predictive method, or an approved override.

Layer	Required Metadata
Source	System, module, document/transaction identifier, extraction timestamp
Staging	Batch ID, period mapping, entity mapping, validation status
Forecast Engine	Line item, method, parameter/driver set, run timestamp
Override	Old value, new value, user, reason, comment, approval status
Output	Scenario, version, period, entity, reporting currency, snapshot ID

Traceability test Select a material forecast receipt and prove the path from Rolling Forecast -> line-item analysis -> source aggregate -> detailed ERP transaction when Oracle Fusion ERP drill-through integration is available.

15. Automation and Job Orchestration

Sequence	Job / Control	Fail-Fast Rule
1	Refresh ERP/bank extracts	Stop on source failure
2	Load master / mapping changes	Stop on rejected member
3	Load rates	Stop if required FX missing
4	Process Actuals	Stop if opening balance/reconciliation fails
5	Process Forecast	Stop on rule or method failure
6	Run validations	Do not publish with critical errors
7	Refresh reporting / dashboards	Run only after calculation success
8	Create snapshot / distribute	Publish only approved status

Pseudo-runbook

Time	Automation	Expected Result
05:00	Source extraction	ERP/bank batches available
05:20	Import + validate	Mappings complete; zero critical rejects
05:35	Actuals processing	Latest actual period certified
05:45	Forecast processing	All line-item methods complete
06:05	Validation pack	No blocking controls
06:15	Dashboard refresh	Rolling horizon visible
09:00	Cash manager review	Exceptions dispositioned
12:00	Controller approval	Approved snapshot published

16. Security and Segregation of Duties

Role	Typical Access	Restriction
Service Administrator	Configuration, jobs, metadata, security	Should not perform business approval as routine
Cash Manager	Entity-level forecast input/review	No unrestricted global administration
Treasury Manager	Funding/investment analysis and enterprise review	Override rights governed
Controller	Review / approve / enterprise analysis	Avoid technical integration administration
Integration Operator	Loads, job monitoring, logs	No forecast approval
Auditor / Read Only	Reports, snapshots, audit evidence	No write access

Control objective Separate data loading, forecast preparation, business approval and platform administration where practical. Sensitive treasury information should be scoped by entity, role and business need.

17. Troubleshooting Handbook

Symptom / Log	Likely Cause	Diagnostic	Resolution
New forecast bucket is blank	Forecast method/rule not run or member association missing	Check method setup, plan type association, job log	Correct configuration and rerun forecast process
Actuals did not move into history	Actuals process or forecast start not advanced	Check process status and forecast range setup	Run actuals process / correct start configuration
Opening cash differs from bank	Source timing, mapping, FX or duplicate load	Reconcile bank source to loaded balance	Fix source/mapping and reload before forecasting
Forecast suddenly shifts across all weeks	FX, opening balance or global driver changed	Compare current roll to prior snapshot	Validate global inputs and isolate change
Only one entity fails	Entity mapping/security/source feed issue	Review rejected records and user POV	Correct entity-specific mapping/access
Manual override disappears after refresh	Override written to wrong version or process overwrites cell	Check version, form intersection, rule logic	Use governed override intersection/process
Drill-through unavailable	Integration context not configured or unsupported path	Inspect integration definition / source metadata	Correct integration and access configuration
Dashboard stale	Cube refresh/reporting step not complete	Compare process timestamps	Rerun dependent refresh after forecast completion

18. Log and Error Examples

Example 1 - blocking integration error

ERROR PCF-MAP-014 Source Entity = IN03 has no target Entity mapping. Batch RF_2026_W31 rejected 246 rows. Forecast processing blocked.

Resolution: add or correct the approved entity mapping, reload the rejected batch, verify row counts and rerun the control total reconciliation before processing actuals.

Example 2 - warning with business disposition

WARN PCF-VAR-221 Customer Receipts W5 variance = -12.4%, exceeding the 8% review threshold. Forecast remains available; business review required.

Resolution: drill to customer/payment detail, determine whether the issue is timing, source data, model behavior or a genuine business event. Add a governed override only when justified.

Example 3 - forecast calculation failure

ERROR PCF-CALC-508 Periodic Process Forecast failed for entity UK_SERVICES. Missing reporting-currency FX rate for forecast week W9.

Resolution: load/approve the required exchange rate, rerun the failed rule for the affected scope, then revalidate enterprise consolidation.

19. Production Readiness Checklist

Domain	Exit Criteria
Functional	All material cash-flow lines mapped; method per line item approved; base and stress scenarios tested.
Time	Forecast start, actual history and horizon behavior validated across at least two roll cycles.
Integration	ERP/bank extracts reconcile; rejects and retries are operationalized; drill-through verified where applicable.
Calculation	Actuals and forecast processes run in correct sequence; multi-currency process tested.
Workflow	Working, submit, review and approve behavior proven; override evidence retained.
Security	Role/entity access and segregation of duties tested with business users.
Performance	Forecast process and dashboards complete within the treasury operating window.
Recovery	Runbook covers source delay, job failure, rate issue, mapping issue and reprocessing.
Audit	Snapshots, comments, attachments and approval evidence are retained according to policy.
Training	Cash Managers can interpret forecast, variance, FVA, headroom and exception queues.

20. Technical Reference - Core Calculations

Metric	Formula / Interpretation
Net Cash Flow	Sum of cash inflows + sum of cash outflows
Closing Cash	Opening Cash + Net Cash Flow
Next Period Opening	Prior period Closing Cash
Headroom	Closing Cash - Minimum Liquidity Buffer
Forecast Variance	Actual - Forecast (sign convention should be documented)
Absolute % Error	$ \text{Actual} - \text{Forecast} / \text{Actual} $ or policy-defined denominator
Bias	Average signed forecast error over defined history
FVA	Baseline error - final-process error; positive value indicates improvement

Important implementation choices

- Document sign conventions for inflows/outflows and variance reporting.
- Define materiality thresholds separately for liquidity risk and forecast accuracy.
- Keep scenario, version and forecast method dimensions or metadata consistent with the reporting design.
- Retain prior approved snapshots so rolling forecast changes can be explained over time.

21. Advanced Student Assessment

Challenge	Expected Deliverable
Roll-forward control	Demonstrate one completed weekly roll and prove that the horizon remains 13 weeks.
Method selection	Justify the forecast method for five cash line items using data availability and behavior.
Stress test	Create a downside liquidity scenario and identify the first breach period and funding requirement.
FVA	Find one forecasting step that adds value and one that destroys value.
Traceability	Trace one forecast receipt from summary to source detail or simulated transaction ledger.
Troubleshooting	Resolve a missing FX rate error and prove the consolidated forecast is refreshed.
Governance	Submit a material override with comment, evidence, review and approval.

Pass standard An advanced student should be able to operate the rolling process, explain why the forecast changed, identify the liquidity decision implied by the forecast, and diagnose the control or technical failure when the process does not roll correctly.

22. Oracle Reference Anchors and Design Notes

This training guide uses Oracle-inspired conceptual UI and implementation patterns; it is not a reproduction of Oracle proprietary screens. Configuration names and behavior should always be validated against the current Oracle Cloud EPM documentation and your environment release.

Reference Topic	Current Product Relevance
Overview of Predictive Cash Forecasting	Daily, weekly and monthly rolling forecasts; direct cash-flow approach; ERP integration and treasury use cases.
Enabling Predictive Cash Forecasting	Time granularity, periodic weekly/monthly options and feature enablement.
Setting up the Forecast Range	Forecast start and rolling-range configuration.
Performing Daily and Periodic Cash Forecasting	Actuals/forecast processing and Rolling Forecast user workflow.
Working with Predictive Cash Forecasting	Rolling Forecast forms, actual-versus-forecast analysis, prediction and cash-flow analysis.

Official documentation: docs.oracle.com - Oracle Cloud EPM Planning / Predictive Cash Forecasting.

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